

Adani Energy Solutions Ltd

Investment Rating : Average

Company Overview

Website	https://www.adanienergysolutions.com/
Sector	nan
Market Cap	348,517.36 Cr
PE Ratio	58.5
PB Ratio	9.05
Dividend Yield	1.65 %

Financial Quality

ROE	8.59
ROCE	9.0
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Excellent

Capital Allocation

Capital Score	63.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

AESL, part of the Adani portfolio, is a multidimensional organization with presence in various facets of the energy domain, namely power transmission, distribution, smart metering, and cooling solutions. AESL is India's largest private transmission company

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.

Risks

Debt-to-equity ratio of 2.93 is elevated for a non-financial company and warrants monitoring.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Earnings per share declining for 3 consecutive years reflects deteriorating profitability.

Net debt exceeding three times operating profit indicates elevated financial leverage.